Zerodha Coin SIP case: Part 4 problem definition (draft)

Final decision after the interviews

The interviews switch the lead. Every interviewee had a payment go wrong, but only one stopped because of it. Three stopped or paused a SIP because returns fell short, and four of the six expected their money to double, two of them within 2 or 3 years. By the rule we agreed before the interviews, the returns statement now leads, and fixing failed payments becomes the supporting work.

> **Final problem statement.** First-year SIP investors on Coin start with a number picked up from social media, ads or friends, often “my money will double”, and judge their SIP against it within months. When the value stays flat or dips, they decide the SIP isn’t working and stop it or move the money. Failed payments add to it: they are common, often noticed late, and slow to sort out through support, so the app feels unreliable at the same moment the returns disappoint.
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> **How might we help first-year investors judge their SIP against realistic expectations, and trust that it is running, so that a slow start or a failed payment doesn’t end it, without recommending funds or using fear?**

This is not “investors stop when markets fall”. The trigger is the gap between an early anchor and what they see in year one, whatever the market does.

	Draft before interviews	Final
Segment	First-year Coin SIP investors paying by mandate	First-year Coin SIP investors, most of whom came in through social media, ads or friends
Lead opportunity	Recovering from failed instalments	Realistic expectations and visible progress in year one
Supporting opportunity	Setting expectations about returns	Payment reliability: move the SIP date, pay now or skip after a failure, clear status outside the app
Why the change	Public posts and survey pointed to failures	Interviews: 3 of 6 stopped or paused over returns, 1 of 6 over failures

How sure we are. Six people from our own network, mostly experienced investors who started years ago. Some stopping was of one fund, not of investing: P3 and P4 moved the money into other funds, which still counts as active in our metric. The one who left over failed payments moved to another app, and that is a loss for Coin. Treat this as a direction to build and test, not a measured result.

What the 6 interviews showed

Payment problems happened to everyone, but returns decided who stopped. Notes are in the interview notes doc; C3 and C4 are left out because interviewees didn't understand them, and question 10 is left out because everyone could find their instalment status.

What we set out to confirm	P1	P2	P3	P4	P5	P6	Total
A payment went wrong	Yes	Yes	Yes	Yes	Yes	Yes	6 of 6
Found out late, or was told the wrong status	2 days late	–	3 months unpaid	–	Told it succeeded	–	3 of 6
Went to support	Yes, unresolved	Yes, unresolved	Yes, resolved	No, fixed it	Yes	Yes	5 of 6
A failure came before stopping or pausing	No	No	No	No	No	Yes	1 of 6
Expected the money to double	Yes	In 3 years	Yes	No	No	In 2 years	4 of 6

What we set out to confirm	P1	P2	P3	P4	P5	P6	Total
Stopped or paused a SIP over returns	No	Yes	Yes	No	Yes	No	3 of 6
Liked “move my SIP date” (C1)	Yes	Yes	Yes	Yes	Yes	Yes	6 of 6
After a failure, would pick (C2)	Skip	Pay now	Skip	Pay now	Pay now	Skip	3 and 3

Other patterns

- **The anchor comes from outside Coin.** Triggers were an ad (P1), a friend (P2), social media (P3) and a first salary (P4, P6). P2 had a hard rule: under 10% in a year, stop the SIP.
- **Year one often had no moment that felt real.** P1 and P2 never had one; P1 found the value unchanged after 15 months. P3 and P6 pointed to big gains after COVID; P4 to seeing growth after 2 or 3 months.
- **For two people the SIP comes last.** P1 and P6 pay bills and EMIs first, and the SIP is the first thing they would cut. Everyone called the SIP savings, not a bill.
- **Failures were mostly fixable, but support was slow.** P2: a payment processor glitch, “not resolved, missed the investment window”. P3’s status showed on the website but not the app.
- **Failures and wrong data drive people off Coin, not off investing.** P6 stopped over autopay and portfolio-update problems and now uses another app. P3 and P6 both called Coin complex for a first-time investor.
- **Advice they would give a friend** is mostly about choosing funds and direct plans (P1, P2, P4), which this case cannot answer with recommendations.
- **Plan type is a blind spot.** P6 noticed only long after starting that Zerodha hadn’t moved them to direct plans. With P1, P2 and P4’s advice about direct plans, 4 of 6 raised direct vs regular without being asked. It doesn’t change the problem statement: no one stopped over plan type, and P6 stopped over autopay and portfolio problems. It does mean the MVP should explain what direct and regular plans cost when someone asks which fund to pick. SEBI’s 1 November 2026 change makes direct plans the default on fund houses’ own apps only, so it doesn’t touch Coin (INDmoney).

The sections below are the draft written before the interviews, kept for the record. Where they differ, the two sections above win.

What the updated survey says

The 3 new responses all had a failed instalment, and 2 of them are Zerodha users who then stopped or paused, naming failed payments as the reason. That moves the survey toward the Part 1 hypothesis: for some investors, a failed payment is where stopping starts.

Measure	First 33	All 36
Had an instalment fail, or not sure	9	12 (33%)
Found out more than a week later	3 of 9	4 of 12
Paused or deleted the SIP after the failure	1 of 9	3 of 12
Stopped or paused their first SIP	5	7
Of those, had a failed instalment	1 of 5	3 of 7
Zerodha users with a failure	4 of 9	6 of 11 (vs 6 of 25 on other apps)
Zerodha users who stopped or paused	1 of 9	3 of 11 (vs 4 of 25 on other apps)
First investment was a SIP	25 of 33	27 of 36 (75%)

- **Why failures happened (12 cases):** mandate or autopay problem 5, short balance on the date 4, app or payment error 1, don't know 2.
- **Why the 7 stopped or paused:** disappointing returns 3, needed the money 2, market fell 2, payments kept failing 2 (people could pick two).
- **Still a skewed sample:** 30 of 36 started over a year ago, 27 are aged 26–30, and 21 invest ₹10,000 or more a month. Read every number as direction, not measurement.

Target user segment

We choose **first-year Coin SIP investors whose SIP runs on a mandate** (UPI Autopay or a bank mandate): about 2.4 lakh new starters a year, every one of whom depends on a debit succeeding each month.

How the segment narrowed

Stage	Segment	Why it changed
The case	First-time mutual fund investors who started their first SIP	Set by the brief and its 12-month metric

Stage	Segment	Why it changed
Part 3 plan	First SIP started 1 to 24 months ago, ideally on Coin, including people who had a failure or stopped	Public posts showed failures and stops come from current app users
Who answered	Mostly experienced: 30 of 36 started over a year ago, 21 invest ₹10,000+ a month	Recruited through our own network
Chosen	**First-year Coin SIP investors paying by mandate**	The metric is decided in year one; Coin's rules make failures quiet; the mandate is where failures happen

Why this segment

- **The metric is decided here.** Continuation at 12 months depends on what happens in the first 12.
- **Every instalment depends on the mandate.** 35 of 36 respondents pay through UPI Autopay or a bank mandate. All 10 failures with a known cause were a mandate problem, a short balance on the date, or an app or payment error.
- **Coin users fail more and find out later in our survey.** 6 of 11 had a failure (vs 6 of 25 elsewhere), and 3 of the 4 who found out over a week later were on Coin. That is too few people to prove, but it fits Coin's rules: no retry, and no cancellation of a failing SIP.
- **The person who fits best** answered in the latest batch: aged 22–25, started 4–12 months ago, invests ₹1,000–2,999, pays by UPI Autopay. Their balance was short on the date, they heard by email over a week later, they paused, and they didn't know pausing was an option.

Who is left out, and why. Experienced investors recover from failures on their own (6 of 12 fixed it or paid by hand). People who pay by hand each month don't have this failure mode, and only 1 of 36 does.

Size. About 2.4 lakh first-time SIP starters a year on Coin (Part 2; the survey's 75% starting with a SIP supports the 70% used there). If a third have an instalment fail in year one, as in our survey, that is roughly 80,000 people a year. That share comes from 36 skewed responses, so treat it as illustrative until Zerodha's failure data replaces it.

Opportunity area

Two areas stay open until the interviews. The lead is **recovering from a failed or at-risk instalment**: the moment a debit fails or is about to, and what the investor can do next. Public posts, Coin's own rules and the survey all point to it, and Coin controls every step.

The alternative is setting expectations about returns: the most-cited reason in the survey, but rare in public posts, and it must stay clear of fund advice.

Area	Public posts (Part 1)	Survey (36)	Can Coin fix it within the case rules?	Verdict
Failed or at-risk instalments (B)	Top theme in every view; 84 posts describe a SIP that failed or got stuck	12 had a failure; 4 found out over a week later; 3 paused or deleted afterwards; 2 of 3 Coin users who stopped or paused named failed payments	Yes: Coin owns the mandate, the debit timing and the messages. No fear or urgency is needed, only clear status and a fix	**Lead option**
Pause, skip or reduce instead of stopping (D)	Second overall, but not robust for recent Coin posts	8 of 36 didn't know they could pause, including 3 of the 7 who stopped or paused	Yes	**Folded in:** pausing becomes one of the recovery options
Disappointing returns (C)	Weak (returns and calculator trust: 28 posts)	Most-cited reason: 11 of 24 who gave one; 3 of the 7 who stopped or paused	Partly. Any help here risks turning into fund advice, which the case bars	**Open option.** The interviews decide between this and the lead
Needing the money (C)	Rare in posts	10 of 24 reasons	Barely: income isn't the product's to fix. Reducing or pausing helps a little	**Folded into D**
Market falls (C)	60 posts, rank 7th; 1 recent Coin post	4 of 24 reasons	Only with reassurance that drifts toward fear or advice	**Out.** The case also rules out "investors stop when markets fall"

Area	Public posts (Part 1)	Survey (36)	Can Coin fix it within the case rules?	Verdict
Set-up confusion (A)	57 posts, mostly people not yet started	29 of 36 found set-up very clear, 7 somewhat; none unclear	Yes	**Out** for now; nothing in the survey supports it

Why recovery rather than prevention alone: a reminder before the SIP date helps people with a short balance (4 of 10 known causes), but not those with a mandate or app problem (6 of 10). The opportunity covers the whole moment: warn before, tell clearly when it fails, and offer a one-step fix after.

Problem statement (draft)

> First-year Coin SIP investors, who are usually salaried and pay through UPI Autopay or a bank mandate, can lose their SIP to a payment problem rather than a decision. An instalment fails because the balance is short on the date, the mandate or autopay breaks, or the app errors. Coin doesn't retry it and keeps the SIP listed as active, so the investor often finds out late and isn't sure how to recover. By then pausing or deleting looks like the easiest way out, and a missed month becomes a stopped SIP.
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> **How might we help first-year investors notice a failed or at-risk instalment in time, and recover from it in one step, so that a payment problem doesn't end their SIP?**

If the interviews point to returns instead

> First-year SIP investors start with an idea of the returns they will see. When their returns fall short of it in the first months, they stop the SIP.
>
> **How might we help first-year investors understand what early SIP returns usually look like, without recommending funds or using fear, so that a slow start doesn't end their SIP?**

The evidence behind each claim

Claim	Evidence
Instalments fail often	12 of 36 surveyed; 84 public posts describe a SIP that failed or got stuck

Claim	Evidence
The causes are mechanical	Of 10 known causes: mandate or autopay 5, short balance 4, app error 1
Coin doesn't retry and keeps the SIP listed	Zerodha's help pages on mandates and failed payments (Part 2)
People find out late	4 of 12 found out over a week later, 3 of them on Coin
A failure can end the SIP	3 of 12 paused or deleted after a failure; 2 of the 3 Coin users who stopped or paused named failed payments

What this statement does not claim

- That most stopping is caused by failures. In our survey 4 of 7 stops had no failure behind them; those were about money and returns.
- That investors stop because markets fall. Only 4 of 24 reasons mention the market.
- Any figure for Coin as a whole. The survey is 36 mostly experienced people; Zerodha's failure data would size the problem properly.